CASE STUDY

UPI / Online Payment Fraud

Task 5 — Cybercrime Awareness | Digital Literacy

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1. What Is the Crime?

UPI (Unified Payments Interface) fraud is one of the fastest-growing cybercrimes in India, targeting millions of smartphone users who rely on apps like Google Pay, PhonePe, and Paytm for daily transactions. Fraudsters exploit users' limited understanding of how UPI collect requests work, tricking them into sending money while believing they are receiving it.

2. Realistic Scenario — The 'Collect Request' Trap

Arjun, a 19-year-old college student in Pune, listed his old laptop for sale on OLX at Rs. 25,000. Within hours, a buyer contacted him over WhatsApp, posing as an Army officer expressing urgent interest. The buyer said he would pay via UPI and asked Arjun to 'accept' the payment on his phone.

The fraudster sent Arjun a UPI **collect request** — not a payment — for Rs. 25,000. Arjun, unfamiliar with the difference, entered his UPI PIN believing he was receiving money. Instead, Rs. 25,000 was instantly debited from his account. The fraudster disappeared immediately and could not be traced.

3. How It Happens — Step by Step

Step 1	Victim posts an item for sale on a public platform such as OLX, Facebook Marketplace, or Quikr.
Step 2	Fraudster contacts the victim, posing as a genuine and often urgent buyer.
Step 3	Fraudster sends a UPI COLLECT request (a debit request, not a credit) to the victim.
Step 4	Victim confuses the request for an incoming payment and enters their UPI PIN.
Step 5	Money is debited instantly from the victim's account and the fraudster vanishes.

4. Who Is Usually Targeted?

- First-time online sellers and college students with limited UPI experience
- Senior citizens newly onboarded to digital payment platforms

- People in financial urgency who act quickly without verifying
- Rural users unfamiliar with the mechanics of UPI collect requests

5. Consequences

Victims suffer immediate financial loss with a near-zero recovery rate. Beyond money, the experience causes significant psychological distress and erodes trust in digital payments. Many victims are unaware they can file a complaint. For students, the loss can represent weeks of savings or pocket money.

Nationally, the Indian Cyber Crime Coordination Centre (I4C) reported over 1.12 million cybercrime complaints in 2023, with UPI and online payment fraud accounting for a significant and growing share.

6. What Could Have Been Done Differently?

Arjun should have known that receiving money on UPI never requires entering a PIN — a PIN is only needed to SEND money. He should have immediately rejected any collect request from an unknown number and reported the incident to his bank and to cybercrime.gov.in.

KEY TAKEAWAY: Entering your UPI PIN means money LEAVES your account.
You NEVER need a PIN to RECEIVE a payment.

Source: Indian Cyber Crime Coordination Centre (I4C) Annual Report 2023 — www.cybercrime.gov.in